

COPY

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DISTRICT COURT OF QUEENSLAND

REGISTRY: BRISBANE  
NUMBER: BD 1249/20

First Plaintiff: **MICHAEL PATRICK CONLEY**

-AND-

Second Plaintiff: **GRACE BUNCLE PTY LTD ACN 605 600 959 AS TRUSTEE  
FOR THE CINDY FLEMING TRUST**

-AND-

First Defendant: **ROSS MATTHEW HIRST**

-AND-

Second Defendant: **PETER WILLIAM HACKETT**

**AMENDED STATEMENT OF CLAIM**

This claim in this proceeding is made in reliance on the following facts:

**BACKGROUND**

1. Michael Patrick Conley (herein called "**Conley**") at all times material to this proceeding:

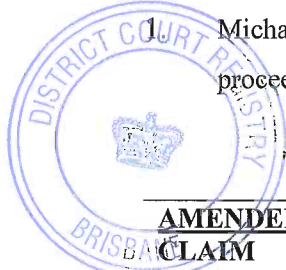
**AMENDED STATEMENT OF  
CLAIM**

Filed on behalf of the Plaintiffs  
Form 16, Version 2  
Uniform Civil Procedure Rules 1999  
Rules 22, 146

**HAWTHORN CUPPAIDGE & BADGERY**

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Accepted by order of  
12/1/21 at 12:12 PM  
Hawthorn Cuppaidge & Badger  
Solicitors for the  
Plaintiffs



- (a) is and was a natural person capable of suing;
  - (b) was the lawful husband of Cindy Ann Fleming (herein called "**Cindy Fleming**") as at the date of her death on 3 September 2014;
  - (c) was, by Grant of Letters of Administration dated on or about 14 October 2014, appointed as the Administrator of the Estate of Cindy Fleming (herein called the "**Estate**") and since then was, and he remains, the legal representative of the Estate; and
  - (d) was appointed the Trustee of the Cindy Fleming Trust in lieu of Cindy Fleming on or about 29 October 2014.
2. Grace Buncle Pty Ltd (herein called "**Grace Buncle**") at all times material to this proceeding:
- (a) is, and was, a company duly incorporated according to law;
  - (b) was, on 4 May 2015, appointed as, and remains, the Trustee of the Cindy Fleming Trust (herein called the "**CFT**") in lieu of Conley; and
  - (c) joins in bringing this proceeding in its capacity as Trustee of the CFT.
3. The First Defendant, Ross Matthew Hirst (herein called "**Hirst**"), at all times material to this proceeding was (and he remains):
- (a) an Australian Legal Practitioner and a Solicitor admitted to practice in the Supreme Court of Queensland; and
  - (b) the principal of Hirst & Co Family Lawyers (herein called "**Hirst & Co**") carrying on practice under that firm name previously from premises located at Suite 4, Level 1, Royal Albert Apartment Building, 167 Albert Street, Brisbane in the State of Queensland.
- 3A. The Second Defendant, Peter William Hackett (herein called "**Hackett**"), at all times material to this proceeding was (and he remains):
- (a) an Australian Legal Practitioner and a Barrister admitted to practice in the Supreme Court of Queensland; and
  - (b) was engaged or retained by Hirst & Co in relation to the transactions and matters pleaded herein.

4. Ralph Lauren 57 Pty Ltd ACN 079 745 056 (herein called "**RL57 Pty Ltd**") at all times material to this proceeding:
- (a) was, and it remains, a company duly incorporated according to law on 15 August 1997;
  - (b) was duly appointed, on 14 June 2003, as the Trustee of each of the following unit trusts:
    - (i) The Cindy Fleming Centro Unit Trust;
    - (ii) The Aaron Fleming Centro Unit Trust;
    - (iii) The Jordin Fleming Centro Unit Trust;
    - (iv) The Keaton Fleming Centro Unit Trust;
    - (v) The Tristan Fleming Centro Unit Trust;
    - (vi) The Douglas James Centro Unit Trust;
    - (vii) The Misako James Centro Unit Trust;
    - (viii) The John James Centro Unit Trust;
    - (ix) The David James Centro Unit Trust;
    - (x) The Lisa Clowes Centro Unit Trust;
    - (xi) The Simon Clowes Centro Unit Trust;
    - (xii) The Bella Clowes Centro Unit Trust; and
    - (xiii) The Max Clowes Centro Unit Trust.(herein called the "**13 Centro 346 Unit Trusts**")
  - (c) was duly appointed, on 14 June 2003, as the Trustee of each of the following discretionary trusts:
    - (i) the Douglas and Misako James Discretionary Trust;
    - (ii) the Simon and Lisa Clowes Discretionary Trust;
    - (iii) the Lisa Clowes Discretionary Trust;
  - (d) as Trustee of each of the discretionary trusts referred to in the immediately preceding subparagraph was in partnership with Cindy Fleming as Trustee of the CFT such partnership being known as the Centro 346 Partnership.  
(herein called the "**Centro 346 Partnership**")
5. Each of the 13 Centro 346 Unit Trusts:
- (a) had appointed RL57 Pty Ltd as Trustee;
  - (b) was settled on 14 June 2003 with the sum of ten dollars (\$10.00);

- (c) was constituted by 100 ordinary units each with a value of ten cents (\$0.10) per unit;
- (d) had attached to it a Second Schedule which detailed that the 100 ordinary units in each of the 13 Centro Unit Trusts were issued and held as to 45 ordinary units by Cindy Fleming as Trustee of the CFT.

6. At or about the date of the death of Cindy Fleming, the financial statements for FY2013 in respect of each of the 13 Centro 346 Unit Trusts disclosed, in the profit and loss statement, distributions (cumulative as at 30 June 2013) to the CFT, which distributions although declared and recorded in the financial statements remained unpaid (“**unpaid distributions**”) in the following respective amounts:

| No.    | Unit Trust                        | Financial Statement                           | Beneficiary | Amount   |
|--------|-----------------------------------|-----------------------------------------------|-------------|----------|
| (i)    | Cindy Fleming Centro Unit Trust   | Profit and Loss Statement ending 30 June 2013 | CFT         | \$90,694 |
| (ii)   | Aaron Fleming Centro Unit Trust   | Profit and Loss Statement ending 30 June 2013 | CFT         | \$90,694 |
| (iii)  | Jordin Fleming Centro Unit Trust  | Profit and Loss Statement ending 30 June 2013 | CFT         | \$90,694 |
| (iv)   | Keaton Fleming Centro Unit Trust  | Profit and Loss Statement ending 30 June 2013 | CFT         | \$90,694 |
| (v)    | Tristan Fleming Centro Unit Trust | Profit and Loss Statement ending 30 June 2013 | CFT         | \$90,694 |
| (vi)   | Douglas James Centro Unit Trust   | Profit and Loss Statement ending 30 June 2013 | CFT         | \$90,694 |
| (vii)  | Misako James Centro Unit Trust    | Profit and Loss Statement ending 30 June 2013 | CFT         | \$90,694 |
| (viii) | John James Centro Unit Trust      | Profit and Loss Statement ending 30 June 2013 | CFT         | \$90,694 |
| (ix)   | David James Centro Unit Trust     | Profit and Loss Statement ending 30 June 2013 | CFT         | \$90,694 |
| (x)    | Lisa Clowes Centro Unit Trust     | Profit and Loss Statement ending 30 June 2013 | CFT         | \$90,694 |
| (xi)   | Simon Clowes Centro Unit Trust    | Profit and Loss Statement ending 30 June 2013 | CFT         | \$90,694 |

|        |                                |                                               |     |                       |
|--------|--------------------------------|-----------------------------------------------|-----|-----------------------|
| (xii)  | Bella Clowes Centro Unit Trust | Profit and Loss Statement ending 30 June 2013 | CFT | \$90,694              |
| (xiii) | Max Clowes Centro Unit Trust   | Profit and Loss Statement ending 30 June 2013 | CFT | \$90,694              |
|        | <b>TOTAL</b>                   |                                               |     | <b>\$1,179,022.00</b> |

7. Further, at or about the date of the death of Cindy Fleming, the financial statements FY2013 for the Centro 346 Partnership disclosed by way of entry in the books of account a liability described as a "loan" under the sub-heading "Long Term Liability" (cumulative as at 30 June 2013) from the CFT in the total amount of \$1,530,000.00 which remained unpaid (herein called the "**Centro 346 Partnership loan**").

#### **RETAINER**

8. On or about 4 November 2014, Conley, in reliance upon the professional skill and expertise of Hirst, orally retained Hirst & Co as his Solicitors, for reward, to act on his behalf in relation to the recovery by the CFT (herein called "**the retainer**") of:
- (a) the unpaid distributions; and
  - (b) the Centro 346 Partnership loan.
9. There was an implied term of the retainer that Hirst would exercise all reasonable care, skill and diligence in acting for Conley under and with respect to the retainer, such term (herein called "**the implied term**"):
- (a) being implied:
    - (i) as necessary to give business efficacy to the retainer; and
    - (ii) so obvious as to go without saying;
  - (b) further or alternatively, being implied from:
    - (i) the class of the agreement, being in the nature of a solicitor and client agreement; and
    - (ii) the relationship created by the retainer, being the relationship of solicitor and client; and

- (c) in the premises, being at all times material to this proceeding a term implied by operation of law in the retainer.
- 10. Alternatively, Hirst owed a duty to Conley (herein called the “**duty of care**”) to exercise all reasonable care, skill and diligence in acting for Conley under and with respect to the retainer.
- 11. In or about February 2015, Conley received advice from Hirst under the retainer as to what steps (if any) that he could and should (as Trustee) take to recover:
  - (a) the unpaid distributions; and
  - (b) the Centro 346 Partnership loan.
- 12. In or about early February 2015, pursuant to and in the course of the retainer (herein called the “**statutory demand advice**”):
  - (a) Hirst advised Conley to take the following steps:
    - (i) to make written demand on RL 57 Pty Ltd for payment thereof;
    - (ii) on the failure by RL57 Pty Ltd to pay those (or any) amounts demanded, to prepare and serve on RL57 Pty Ltd statutory notices of demand under Div.2, Part 5.4 of Chapter 5 of the *Corporations Act 2001*;
    - (iii) to depose to various affidavits to accompanying those statutory notices of demand;
  - (b) Hirst so advised Conley to take those steps on the footing that each of:
    - (i) the unpaid distributions; and
    - (ii) the Centro 346 Partnership loan;were, as a matter of law, debts due and payable within the meaning of Div.2, Part 5.4 of Chapter 5 of the *Corporations Act 2001* and, accordingly, able to be the subject of statutory notices of demand under s.459E.
- 13. On or about 11 February 2015, pursuant to the retainer, Hirst (herein called the “**statutory demand steps**”):
  - (a) prepared with the assistance of Counsel:
    - (i) a letter of demand dated 12 February 2015;

- (ii) one (1) Form 509H creditor's statutory notice of demand dated 12 February 2015 in respect of the Centro 346 Partnership loan together with an affidavit to be deposed by Conley to accompany said statutory demand;
    - (iii) thirteen (13) separate Form 509H creditor's statutory notices of demand dated 12 February 2015 in respect of the unpaid distributions together with thirteen (13) separate affidavits to be deposed by Conley to accompany those statutory demands;
  - (b) advised Conley to depose (as was the case) each of the affidavits to accompany the fourteen (14) said statutory demands; and
  - (c) caused each of those documents to be served on RL 57 Pty Ltd.  
(herein the fourteen (14) said statutory demands are referred to collectively as the **"statutory demands"**)
14. The Centro 346 Partnership loan, at all times material to this proceeding, (**"legal status of the Centro 346 Partnership loan"**) was:
- (a) shown in the financial statements of the Centro 346 Partnership as a "Long-Term Liability";
  - (b) under the relevant Accounting Standard 101 issued by the Australian Accounting Standards Board at [69], as a matter of law:
    - (i) not a debt or liability due or payable on demand; and
    - (ii) not a debt or liability due and payable within 12 months;
  - (c) in the premises:
    - (i) not a debt within the meaning of Div. 2, Part 5.4 of Chapter 5 of the Corporations Act 2001; and
    - (ii) could not lawfully be the subject of a statutory notice of demand under Div. 2, Part 5.4 of Chapter 5 of the Corporations Act 2001.
15. Each of the unpaid distributions as shown in the financial statements of each of the 13 Centro 346 Unit Trusts, at all times material to this proceeding, as a matter of law (**"legal status of the unpaid distributions"**):
- (a) did not give rise to a debtor/creditor relationship as between CFT as beneficiary and RL57 Pty Ltd as trustee;

- (b) did not create a present entitlement in the CFT as beneficiary to payment of the (or any part of the) unpaid distributions;
- (c) did not create a present legal right on the part of the CFT as beneficiary to demand and receive payment of the (or any part of the) unpaid distributions; and
- (d) in the premises thereof:
  - (i) was not a debt or debts within the meaning of Div.2, Part 5.4 of Chapter 5 of the *Corporations Act 2001*; and
  - (ii) could not lawfully be the subject of a statutory notice of demand under Div.2, Part 5.4 of Chapter 5 of the *Corporations Act 2001*.

16. Hirst (at all times prior and up to and including 12 February 2015):

- (a) notwithstanding the legal status of the unpaid distributions and the legal status of the Centro 346 Partnership loan:
  - (i) gave the statutory demand advice; and
  - (ii) advised Conley to take the statutory demand steps; and
- (b) failed (when solicitors exercising the competence and skill usually employed among solicitors practicing their profession and taking proper care in what they do, would have so done):
  - (i) to advise Conley in writing or otherwise as to the legal status of the unpaid distributions;
  - (ii) to advise Conley in writing or otherwise as to the legal status of the Centro346 Partnership loan;
  - (iii) to advise Conley that on service of the statutory demands, RL57 Pty Ltd was entitled to, and likely to, file and serve within 21 days originating applications to set aside each of the statutory demands;
  - (iv) to advise Conley that RL57 Pty Ltd would be obliged to file and serve a separate originating application in respect of each of the fourteen (14) separate statutory demands;
  - (v) to advise Conley that in order to set aside a statutory demand, RL57 Pty Ltd was (inter alia) required merely to establish the existence of a genuine dispute as to the existence of the debts the subject of the statutory demands, and that the legal test was not particularly onerous;



- (vi) to advise Conley that if the statutory demands were set aside, there was a likelihood or a substantial risk that Conley would be ordered to pay the costs of RL57 Pty Ltd on each of the fourteen (14) separate originating applications;
  - (vii) further or alternatively to (vi) immediately above, to advise Conley that if the statutory demands were set aside, there was a likelihood or a substantial risk that Conley would be ordered to pay the costs of RL57 Pty Ltd on each of the fourteen (14) separate originating applications on an indemnity basis;
  - (viii) to advise Conley that in circumstances where fourteen (14) separate originating applications were likely to be filed and served by RL57 Pty Ltd, that in the event that RL57 Pty Ltd was successful on those applications and orders for costs were made, then there was a real risk that Conley could be liable for costs in a very substantial amount;
  - (ix) to advise Conley that the statutory demand process was risky and that a more prudent approach to the recovery of any monies from RL57 Pty Ltd would be to commence civil proceedings by way of claim and statement of claim; and
- (c) thereby:
- (i) breached the implied term of the retainer; and
  - (ii) breached the duty of care and was thereby negligent in the provision of his services to Conley under the retainer.

(herein "**Hirst's breach of retainer and negligence**")

#### **EVENTS THAT TRANSPIRED**

17. By fourteen (14) separate letters dated 2 March 2015, all in similar terms and headed "without prejudice save as to costs", RL57 Pty Ltd (by its Solicitors) wrote to Hirst (for Conley) stating:
- (a) that a "genuine dispute" existed in respect of each of the debts the subject of the fourteen (14) statutory demands;
  - (b) that RL 57 Pty Ltd held instructions to apply to the Court to set aside the statutory demands;

- (c) that fourteen (14) separate originating applications were required to be filed and that the filing fees alone would amount to \$33,567.10;
- (d) that as to each of the 13 statutory demands for the sum of \$90,694.00, such sum had been recontributed to each relevant 13 Centro Unit Trusts as new equity and was not repayable on demand;
- (e) that Cindy Fleming had in affidavits filed in the Family Court, admitted that none of the sums the subject of the fourteen (14) statutory demands were repayable on demand; and
- (f) that despite the matters set out above, RL57 Pty Ltd was prepared to resolve matters on the basis that the statutory demands be withdrawn by 9.00am on 3 March 2015 in which case each party should pay their own costs. (herein collectively referred to as the **“offer of 2 March 2015”**)

18. Thereafter:

- (a) Hirst (for Conley) on 2 March 2015, wrote to RL57 Pty Ltd (by its Solicitors) in response to the offer of 2 March 2015 noting that the time permitted for response was unreasonable;
- (b) Hirst (for Conley) on 3 March 2015, wrote to RL57 Pty Ltd (by its Solicitors) advising, inter alia, that if affidavits or statutory declarations were provided by RL57 Pty Ltd, Conley would be prepared to concede the existence of such a genuine “dispute”;
- (c) RL57 Pty Ltd (by its Solicitors) on 3 March 2015, wrote to Hirst (for Conley) confirming an extension of time for acceptance of the offer of 2 March 2015, until 5.00 pm on the 3<sup>rd</sup> March 2015 (herein called the **“offer of 3 March 2015”**);
- (d) RL57 Pty Ltd (by its Solicitors) on 4 March 2015 wrote to Hirst (for Conley);
  - (i) further extended the time for the acceptance of the offer referred to in paragraph 15 hereof, until 10.30 am on the 4<sup>th</sup> March 2015;
  - (ii) maintained the position that a genuine dispute existed as to the said debts and referred to various financial accounts and Family Court affidavit evidence in support of that position already in the

possession of or known to Conley (herein called the “**offer of 4 March 2015**”);

- (e) Hirst (for Conley) on 4 March 2015 wrote to RL57 Pty Ltd (by its Solicitors) seeking particulars of the Family Court affidavit material relied on by RL57 Pty Ltd (by its Solicitors);
- (f) Hirst (for Conley) on 5 March 2015 wrote to RL57 Pty Ltd (by its Solicitors), Hirst (for Conley) advised that Conley did not agree to withdraw the said statutory demands;
- (g) RL57 Pty Ltd (by its Solicitors) on 25 March 2015, by letter headed “without prejudice save as to costs”, wrote to Hirst (for Conley) offering to settle the fourteen (14) originating applications on the basis that the statutory demands be withdrawn with Conley agreeing to pay RL57 Pty Ltd.’s costs on the standard basis (herein called the “**offer of 25 March 2015**”).

19. The letter referred to in subparagraph 18(f) of this pleading was written and sent by Hirst (for Conley):

- (a) without first having reverted to Conley for instructions in relation thereto; and
- (b) absent any instructions from Conley to write to RL57 Pty Ltd (by its Solicitors) in those terms.

20. On or about 5 March 2015, RL57 Pty Ltd caused:

- (a) fourteen (14) separate originating applications with affidavit material in support to be filed in the Supreme Court of Queensland seeking orders setting aside each of the fourteen (14) statutory demands served on behalf of Conley;
- (b) served the documents and material referred to in subparagraph 20(a) immediately above to be served on Hirst (for Conley).

21. Thereafter, His Honour Justice Douglas:

- (a) on 30 March 2015, heard each of the fourteen (14) originating applications filed by RL57 Pty Ltd; and
- (b) on 17 April 2015, made orders:

- (i) setting aside each of the fourteen (14) statutory demands served on RL57 Pty Ltd; and
- (ii) that Conley pay RL57 Pty Ltd.'s costs of and incidental to each of the fourteen (14) originating applications on the indemnity basis.

22. Hirst (when solicitors exercising the competence and skill usually employed among solicitors practicing their profession and taking proper care in what they do, would have so done):

- (a) failed:
  - (i) (at all times on 3 March 2015) to draw to Conley's attention, or to revert to Conley for instructions concerning, the offer of 3 March 2015;
  - (ii) (at all times on 4 March 2015) to draw to Conley's attention, or to revert to Conley for instructions concerning, the offer of 4 March 2015;
  - (iii) (at all material times) to get instructions from Conley to write and send the said letter referred to in subparagraph 18(f) of this pleading;
- (b) failed to advise Conley of any of the matters pleaded in subparagraphs 16(b)(i) to 16(b)(ix) in this pleading;
- (c) failed to advise Conley that given the persistent assertion by RL57 Pty Ltd (by its Solicitors) that there was a "genuine dispute" as to the existence of the debts, that there was a substantial risk that such a dispute would be established with the consequence that Conley was at substantial risk of being ordered to pay costs of a very substantial amount;
- (d) failed to advise Conley that once the time limit for the filing of the necessary applications expired and the applications were filed, it would be far more difficult to resolve the matter on terms suitable, or less prejudicial, to Conley;
- (e) failed to advise Conley as to the significance of the words "without prejudice as to costs" endorsed on:
  - (i) the 14 letters referred to in paragraph 17 of this pleading;
  - (ii) the offer of 2 March 2015;
  - (iii) the offer of 3 March 2015; and
  - (iv) the offer of 25 March 2015;

- (f) failed to advise Conley that should the statutory demands be set aside there was a likelihood or a high risk that Conley would be ordered to pay the costs of RL57 Pty Ltd on the indemnity basis;
  - (g) failed to advise Conley:
    - (i) that it would be prudent for Conley to accept the offer of 2 March 2015;
    - (ii) in the alternative, that it would be prudent for Conley to accept the offer of 2 March 2015 as extended by the offer of 3 March 2015;
    - (iii) in the further alternative, that it would be prudent for Conley to accept the offer of 2 March 2015 as extended by the offer of 4 March 2015;
    - (iv) in the further further alternative, that it would be prudent for Conley to accept the offer of 25 March 2015;
23. In the premises of the immediately preceding paragraph, Hirst thereby:
- (a) breached the implied term of the retainer; and
  - (b) breached the duty of care and was thereby negligent in the provision of his services to Conley under the retainer.
- (herein **"Hirst's further breach of retainer and negligence"**)
24. Had Conley been advised by Hirst of the matters pleaded in subparagraphs 16(b)(i) to 16(b)(ix) hereof, Conley would have given Hirst instructions to not proceed with the statutory demand steps in consequence whereof the losses pleaded in paragraph 26 hereof would have been avoided.
25. Further or alternatively, had Conley been advised by Hirst of the matters pleaded in subparagraphs 22(a) to 22(g) hereof, Conley would have given Hirst instructions to advise RL57 Pty Ltd (by its Solicitors) to withdraw the statutory demands and that it was unnecessary for RL57 Pty Ltd to proceed with the fourteen (14) originating applications in consequence whereof the losses pleaded in paragraph 26 hereof would have been avoided or substantially reduced.

**LOSS AND DAMAGE**

26. By reason of Hirst's breach of retainer and negligence and Hirst's further breach of retainer and negligence, Conley has suffered loss and damage in the amount of \$518,814.19 plus interest consisting of:
- (a) judgment against Conley to pay RL57 Pty Ltd by way of indemnity costs fixed by assessment in the total amount of \$295,539.10;
  - (b) judgment against Conley to pay RL57 Pty Ltd interest under s.59 of the *Civil Liability Act 2011* on the total sum of \$295,539.10 at the rate in force from time to time;
  - (c) amounts totalling \$123,471.29 by way of professional fees and costs paid to Hirst (including counsel's fees) under or incidental to the retainer which amounts were totally wasted;
  - (d) amounts totalling \$61,248.80 by way of legal costs and outlays paid to Conley's new solicitors in the process of assessment of costs consequent upon said judgments; and
  - (e) the amount of \$38,555.00 for costs and outlays paid to the costs assessor.

**SECOND DEFENDANT'S BREACH OF DUTY OF CARE**

26A. The matters pleaded in paragraph 26A to 26H are pleaded further or in the alternative to the matters pleaded elsewhere in this pleading and in the Reply filed by the Plaintiffs herein.

26B. The Plaintiffs repeat and rely upon the matters pleaded in paragraphs 1 to 26 above.

26C. At all times material to this proceeding, the Second Defendant, Hackett, was, and held himself out to be, a professional legal practitioner in the State of Queensland and a Barrister:

- (a) admitted to practice as such in the Supreme Court of Queensland;
- (b) carrying on practice as such within the State of Queensland and throughout Australia.

26D. The Defendant's Statement of Claim against the Third Party filed herein on 6 July 2020, alleges that Hackett was engaged or retained by Hirst or Hirst & Co as the Barrister to advise, and did advise, with respect to:

- (a) the Hackett initial statutory demand advice;
- (b) the Hackett 3 March 2015 advice;
- (c) the updated Hackett advice;

each with respect to the transactions and matters pleaded in paragraphs 1 to 16 of this Statement of Claim.

(herein collectively, the "**Barrister's advice**")

26E. In giving the Barrister's advice, Hackett owed to *inter alia* the Plaintiffs a duty of care, to exercise the care, skill and diligence of a reasonable competent barrister experienced in and professing to have experience and expertise in commercial litigation (herein the "**Barrister's duty of care**").

26F. In breach of the Barrister's duty of care, Hackett (herein the "**Barrister's breach of duty**"):

- (a) provided (when a reasonably competent barrister would not have done so):
  - (i) the Hackett initial statutory demand advice;
  - (ii) the Hackett 3 March 2015 advice;
  - (iii) the updated Hackett advice;
- (b) failing to advise (when a reasonably competent barrister would have done so):
  - (i) as to the legal status of the Centro 346 Partnership loan;
  - (ii) as to the legal status of the unpaid distributions;
  - (iii) that RL57 Pty Ltd would be required to issue 14 sets of proceedings seeking to have the statutory demands set aside;
  - (iv) that RL57 Pty Ltd merely had to establish the existence of a genuine dispute as to the existence of the debts in order to have the statutory demands set aside and that the test was not particularly onerous;
  - (v) that if RL57 succeeded in having the statutory demand set aside, Conley as trustee for the CFT was likely to be ordered to pay RL57 Pty Ltd's costs, alternatively ordered to pay its costs on an indemnity basis, and that there was a real risk Conley could be liable to pay costs in a very substantial amount;

- (vi) that the statutory demand process was risky and that a more prudent approach would be to issue a claim and statement of claim;
- (vii) that Conley should not issue or subsequently should withdraw the statutory demands.

26G. By reason of the Barrister's breach of duty, the Plaintiffs have, or are liable to, suffer loss and damage in the amount pleaded in paragraph 26 of this Statement of Claim.

26H. In the premises, the Plaintiffs claim against the Second Defendant damages for negligence.

#### **PROPORTIONATE LIABILITY**

26I. The matters pleaded in paragraph 26I to 26S are pleaded further or in the alternative to the matters pleaded elsewhere in this pleading.

26J. The Defence of the First Defendant filed in this proceeding alleges that the claims made in the Statement of Claim for breach of duty by Hirst or Hirst & Co are apportionable claims with the meaning of section 28 of the *Civil Liability Act 2003*.

26K. In respect of the pleas of proportionate liability below, the Plaintiffs repeat and rely upon the matters pleaded in paragraphs 1 to 26, 26C and 26D above in this Statement of Claim.

26L. Hackett was engaged or retained by Hirst or Hirst & Co as the Barrister to advise with respect to:

- (a) the unpaid distributions;
- (b) the Centro 346 Partnership loan;
- (c) the statutory demand advice;
- (d) the statutory demand steps;
- (e) the statutory demands;
- (f) the legal status of the Centro 346 Partnership loan;
- (g) the legal status of the unpaid distributions.

26M. Further or alternatively to 26L, the Defendant's Statement of Claim against the Third Party filed herein on 6 July 2020, alleges that Hackett was engaged or retained by Hirst or Hirst & Co as the Barrister to advise, and did advise, with respect to:

- (d) the Hackett initial statutory demand advice;
- (e) the Hackett 3 March 2015 advice;



(f) the updated Hackett advice.

26N. As the agent of Hirst, Hackett:

(a) owed to Hirst, Hirst and Co duties to perform his instructions to the standard of due care and skill of a reasonably competent Barrister;

(b) owed to the Plaintiff a duty to exercise reasonable care and skill in providing advice to the standard of due care and skill of a reasonably competent Barrister;

26O. The failures pleaded in paragraphs 26F were breaches of the duty of care pleaded at paragraph 26N above.

26P. By reason of Hackett's breach of duty of care, the Plaintiff has suffered loss and damage in the amount claimed at paragraph 26 of this pleading.

26Q. Had Hackett complied with his duty of care pleaded at paragraph 26N above:

(a) the Plaintiffs would not have taken the statutory demand steps;

(b) the Plaintiffs would have given Hirst instructions to not proceed with the statutory demand steps in consequence whereof the losses pleaded in paragraph 26 hereof would have been avoided; or

(c) otherwise would not have suffered the loss and damage as pleaded at paragraph 26 of this Statement of Claim.

26R. In the premises pleaded at 26I to 26Q herein, Hackett caused some or all of the loss and damage claimed in the Statement of Claim.

26S. In the premises, by reason of section 31 of the Civil Liability Act 2003, in the event this Honourable Court determines that the claims made in the Statement of Claim are held to be apportionable claims with the meaning of section 28 of the *Civil Liability Act 2003*, the Plaintiff seeks as against the Second Defendant, Hackett, such loss and damage that this Honourable Court consider just and equitable having regard to the extent of the respective responsibility of each Defendant for the loss and damage so suffered.

#### **GRACE BUNCLE**

27. By deed dated 4 May 2015, Grace Buncle was appointed as, and it remains, Trustee of the CFT in lieu of Conley ("**deed of appointment**").

28. At all times material to this proceeding:

- (a) s15(1) of the *Trusts Act 1973 (Qld)* provided

Where a new trustee is appointed the instrument of appointment vests, subject to the provisions of any other Act, the trust property in the persons who become and are the trustees as joint tenants without any conveyance, transfer or assignment.

- (b) the *Acts Interpretation Act 1954 (Qld)* defines "property" as:

Property means any legal or equitable estate or interest (whether present or future, vested or contingent, or tangible or intangible) in real or personal property of any description (including money), and includes things in action.

29. In the premises, by reason of the provisions of the deed of appointment operated to vest in Grace Buncle:

- (a) the whole of the trust property assets of the CFT ("**CFT Assets**") in Grace Buncle without conveyance, transfer or assignment; together with
- (b) the proceeds of any and all fruits of the litigation comprised in or resulting from the prosecution of this proceeding.

30. Further or alternatively, Conley:

- (a) incurred the liability under the judgments in his capacity as trustee of the CFT; and
- (b) is, by reason whereof, entitled to seek, or has sought, a right of indemnity as against Grace Buncle and the CFT Assets.

31. By reason thereof:

- (a) Conley is entitled to seek, or has sought, a right of indemnity as against the CFT Assets ("**Conley's right of indemnity**");
- (b) RL57 Pty Ltd is entitled to, or has sought to, be subrogated to Conley's right of indemnity to recover any unpaid judgment amounts against the CFT Assets.

32. In the premises, Grace Buncle in its capacity as Trustee of the CFT has, or is liable to, suffer loss and damage in the amount of \$491,589.19 plus interest loss as pleaded in paragraph 26 of this pleading.

33. The District Court of Queensland has jurisdiction to hear and determine the claim.

And the Plaintiffs or each of them claim against the First Defendant:

- (a) Damages in the amount of \$518,814.19 for:
  - (i) breach of contract;
  - (ii) alternatively, for negligence;
- (b) Interest pursuant to s.58 and/or s.59 of the *Civil Proceedings Act 2011*.
- (c) Costs.

And the Plaintiffs or each of them claim against the Second Defendant:

- (a) Damages in the amount of \$518,814.19 for negligence;
- (b) Alternatively, by reason of section 31 of the *Civil Liability Act 2003*, in the event this Honourable Court determines that the claims made in the Statement of Claim are held to be apportionable claims with the meaning of section 28 of the *Civil Liability Act 2003*, the Plaintiff seeks as against the Second Defendant, such loss and damage that this Honourable Court consider just and equitable having regard to the extent of the respective responsibility of each Defendant for the loss and damage so suffered.
- (c) Interest pursuant to s.58 and/or s.59 of the *Civil Proceedings Act 2011*.
- (d) Costs.

Signed:

  
HAWTHORN CUPPAIDGE & BADGERY

Description: Solicitors for the Plaintiffs

Dated: 29 April 2020

Amended: 1 February 2021

#### NOTICE AS TO DEFENCE

Your defence must be attached to your notice of intention to defend.

This amended pleading was settled by Mr I.A. Erskine of Counsel

**NOTICE UNDER RULE 150(3)**

The plaintiffs claim:

|                                                                |               |
|----------------------------------------------------------------|---------------|
| Damages                                                        | \$518,814.19  |
| Interest payable on amount claimed under paragraph 26 (b)      | \$112,962.20  |
| Interest payable on amounts claimed under paragraph 26 (c)-(e) | \$ 44,727.21  |
| Court filing fee                                               | \$ 1,754.00   |
| Professional costs on claim                                    | \$ 1,778.00   |
| ACF fee                                                        | \$ 22.05      |
| Service and travel fee                                         | \$ 108.10     |
| Total                                                          | \$ 680,165.75 |

The proceeding ends if you pay those amounts before the time for filing your notice of intention to defend ends. If you are in default by not filing a notice of intention to defend within the time allowed, the plaintiffs are entitled to claim additional costs of \$467.40 costs of entering judgment in default.